

Risk Policy

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1. Purpose and Scope

This policy defines how applicants are risk-graded based on the credit risk model's predicted probability of default (PD), and the risk management actions tied to each grade.

2. Risk Grading Scale

Every applicant is assigned a Risk Grade from A (lowest risk) to G (highest risk) based on the model's predicted PD at origination.

Risk Grade	PD Range	Risk Category
A	0% - 5%	Minimal risk
B	5% - 10%	Low risk
C	10% - 15%	Low-moderate risk
D	15% - 22%	Moderate risk
E	22% - 30%	Elevated risk
F	30% - 35%	High risk
G	Above 35%	Very high risk

3. High-Risk Thresholds

An applicant with a predicted PD above 35% is automatically classified as high-risk (Risk Grade G) and routed to the Exception Policy (POL-EX-001) for manual review. No high-risk applicant may be auto-approved under any circumstance, regardless of compensating factors.

Risk Grades E through G additionally require Senior Underwriter or Credit Committee review per POL-AP-001 Section 3, regardless of the automated model score, because the elevated loss severity at these grades warrants human judgment on compensating factors.

4. Model Governance

The credit risk model must be revalidated at least annually per the process defined in the Model Validation runbook. Key monitoring metrics include ROC-AUC, PR-AUC, calibration (Brier score), and Population Stability Index (PSI) across the model's input features and score distribution.

A PSI above 0.25 on the model's score distribution relative to its training baseline triggers a mandatory model review by the Model Risk Management function before continued production use.

5. Explainability Requirements

Every model-driven decision must be accompanied by an explanation of the top contributing risk factors (via SHAP or an equivalent method), so that underwriters and, where required, applicants can understand the basis for the risk assessment. Explanations must reference only the factors the model actually used — never factors invented after the fact to justify a decision.